

When I was younger, I had strong preconceptions about what great investing was all about. It was long-term, focused on the fundamentals and somehow a branch of Benjamin Graham and David Dodd's celebrated book called *Security Analysis*, a tree that yielded Warren Buffett and so many other great investors. If you weren't part of this intellectual tradition, you were just doing it wrong.

I'm not so doctrinaire anymore. I'll admit there are lots of ways to make money in markets, just as there are many different ways to make a really good pizza. Nonetheless, there is something to be said for a really good pizza that almost anyone can make with the right ingredients.

In the markets, you can find all kinds of crazy success stories, such as the improbable traders of Market Wizards fame — including Jim Rogers, Paul Tudor Jones and Michael Steinhardt — or the oddball dancer Nicolas Darvas, famous for his book *How I Made \$2,000,000 in the Stock Market*, with its equally odd system. These never interested me, for many reasons, but one big reason is they struck me as freakish. The gains were enormous, but the process was not replicable — certainly not by the everyman.

I had a hard time believing anyone using insights from such financial freaks could really get anywhere. More likely, I imagined, following such a path would lead to ruin.

But here is where Mr. Phelps is different. As you'll see in the next chapter, anyone can invest in a 100-bagger — and many ordinary people have. Anyone can find them — or find close-enough approximations. After all, who is going to complain if you only turn up a 50-bagger, or even a 10-bagger? Heck, most investors I know are delighted when they double their money in a few years.

Studying some of the great successes and the principles behind 100-baggers will help in the effort to find winning stocks today — not only 100-baggers. Before we get into that, which is the meat of the book, I want to discuss some elements of the study itself.

The Study: 365 Stocks That Turned \$10,000 into \$1+ Million

Our study also turned up 365 stocks (by coincidence, the same number